

Outlook

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Validate the treatment strategy, not only the risk rank

Hi,

This came up in a working session and nobody had the same definition.

Collections wants a prioritisation model, but validation must separate default risk from the effect of different contact strategies.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: some customers self-cure without intervention; high-risk customers need tailored arrangements rather than more attempts; or contact channel changes promise-kept rates.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases. We looked at a version of this before. For the July 2021 review, please show what changed and whether the earlier conclusion still holds.

What we need to decide is whether a model can support treatment allocation and what experiment is needed next. Please bring a Power BI page with drill-through to a reproducible case list, including a few cases we can trace from source to conclusion.

The available evidence is collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields. Observational data cannot prove treatment causality; recommend a controlled test where appropriate.

Thank you